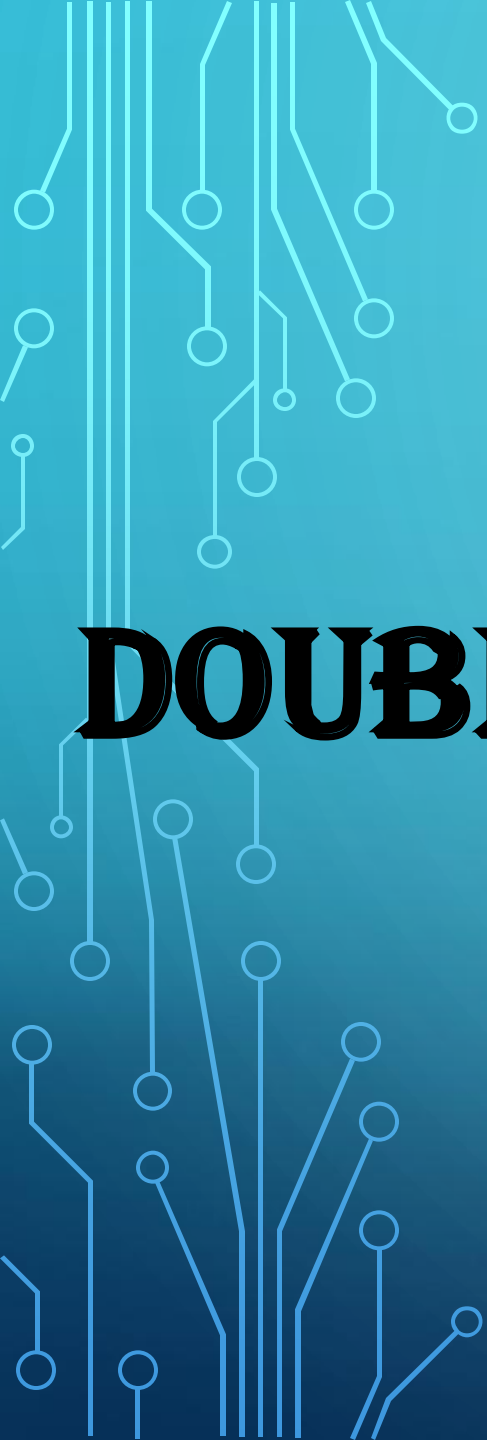




CH – 01

ACCOUNTING BASICS



(B)

DOUBLE ENTRY BOOK – KEEPING SYSTEM

(1)

INTRODUCTION TO DOUBLE ENTRY BOOK - KEEPING SYSTEM

DOUBLE ENTRY BOOK KEEPING



Overview of accounting



Types of book keeping system



Double entry book keeping



Dual nature of transactions



Elements of financial statements



(1)

OVERVIEW OF FINANCIAL ACCOUNTING

OVERVIEW OF ACCOUNTING

Collecting & verifying

**Collection and verification of
source documents of business
transactions**

OVERVIEW OF ACCOUNTING

Recording

**Recording of business transactions in
General Journal**

OVERVIEW OF ACCOUNTING

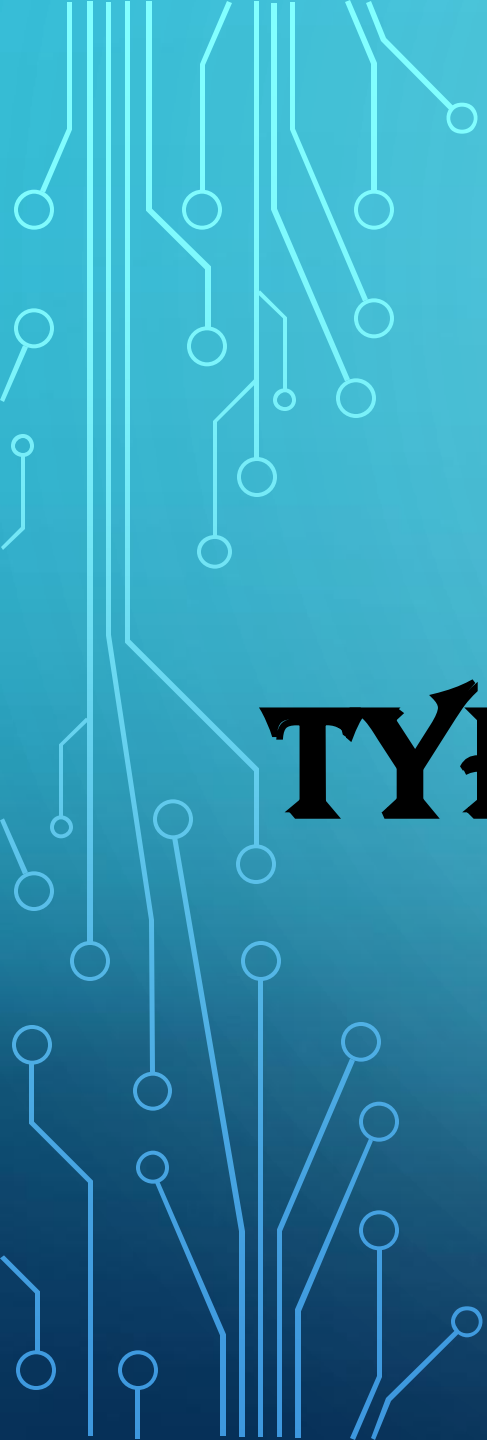
Classification

Preparation of General Ledgers & trial balance

OVERVIEW OF ACCOUNTING

Summarizing

Preparation of Financial Statements



(2)

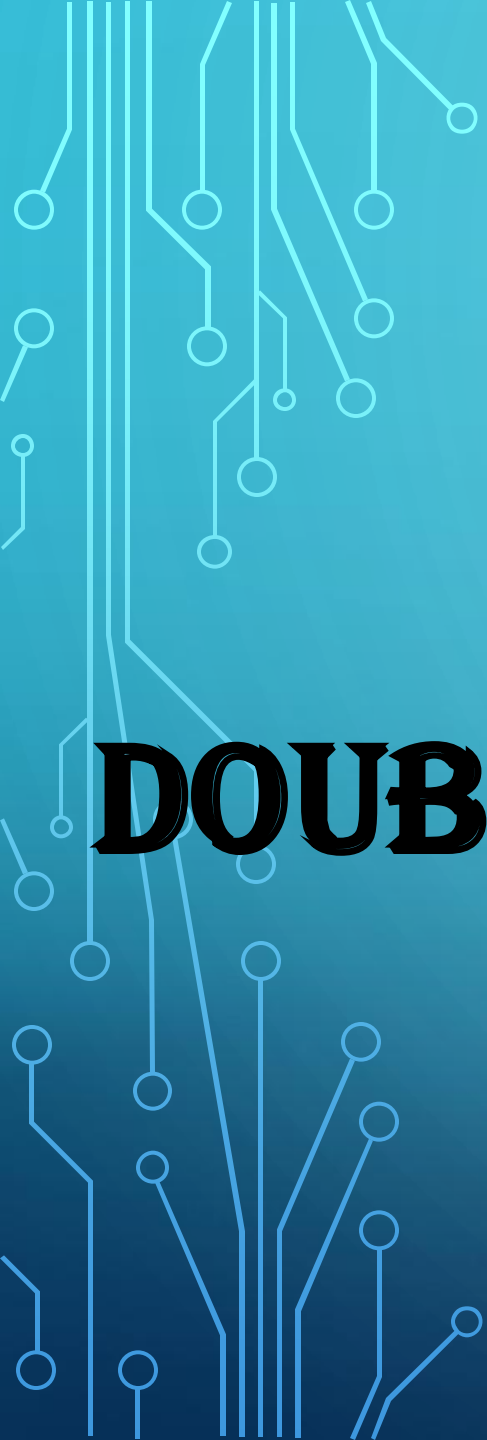
TYPES OF BOOK – KEEPING SYSTEM

BOOK KEEPING SYSTEMS



Double entry book –
keeping system

Single entry book
keeping system



(3)

DOUBLE ENTRY BOOK - KEEPING

DOUBLE ENTRY BOOK KEEPING

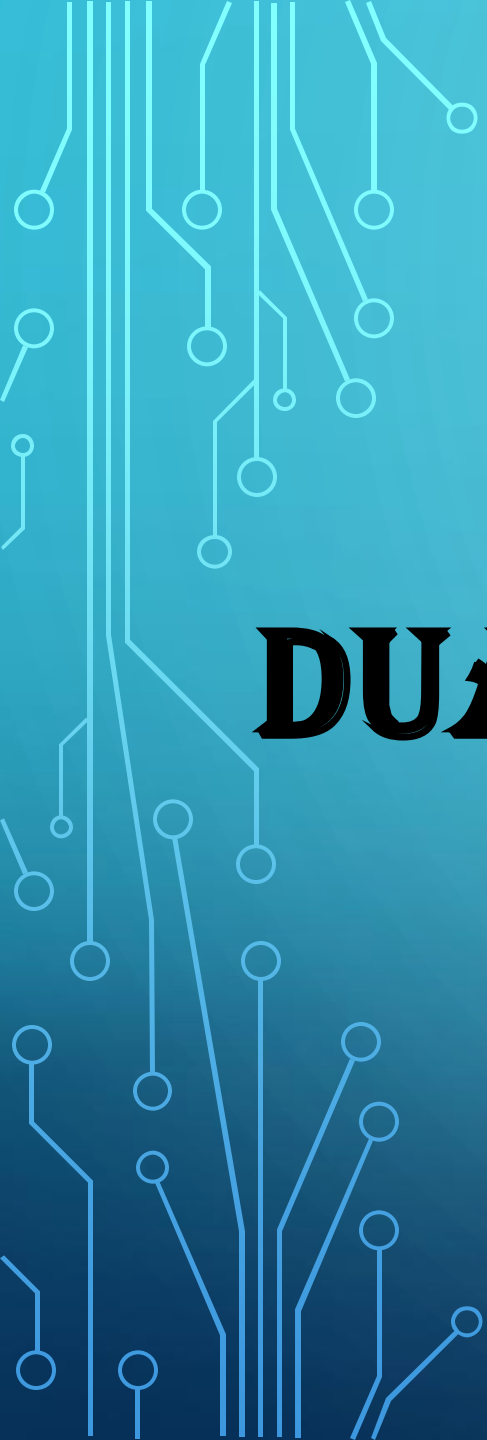
Double entry book keeping is the process of:

Recording & classifying business transactions in the books of accounts using **double entry rules.**

TYPES OF DOUBLE ENTRY BOOK – KEEPING SYSTEM

Book – keeping system **without** books of prime entry

Book – keeping system **with** books of prime entry.



(4)

DUAL NATURE OF BUSINESS TRANSACTIONS

DUAL NATURE OF TRANSACTIONS

Every transaction and financial event of the business has dual effect on the:

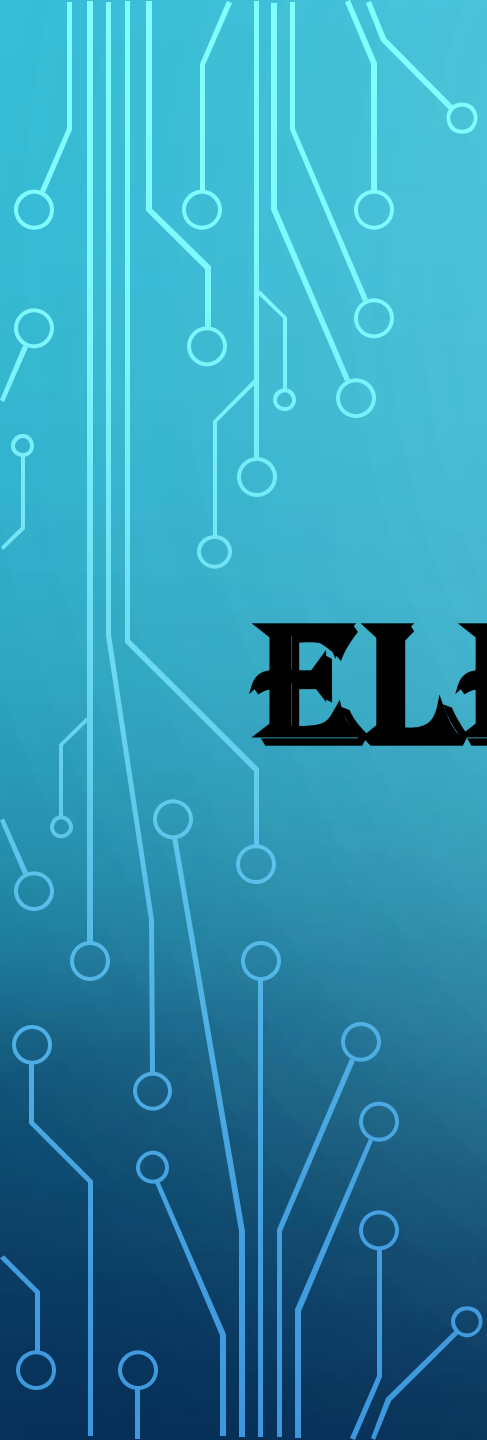
Assets,

Liabilities

Equity

Income

Expenses



(5)

ELEMENTS OF FINANCIAL STATEMENTS

ASSETS

A present economic resource;
(Any valuable item, tangible or intangible)

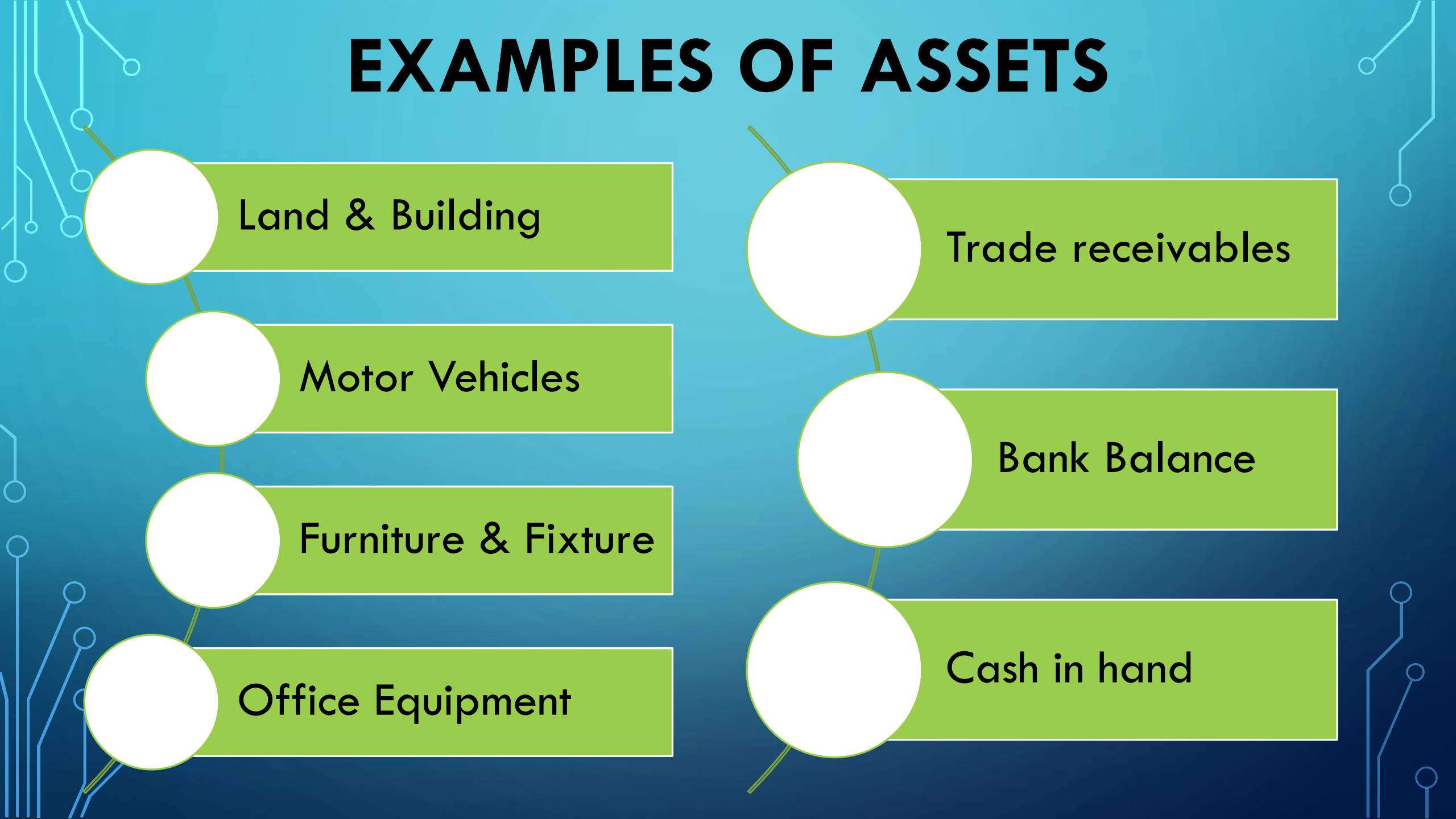


controlled by the entity;



as a result of past event.

EXAMPLES OF ASSETS



Land & Building

Motor Vehicles

Furniture & Fixture

Office Equipment

Trade receivables

Bank Balance

Cash in hand

LIABILITIES

A present obligation of the business;

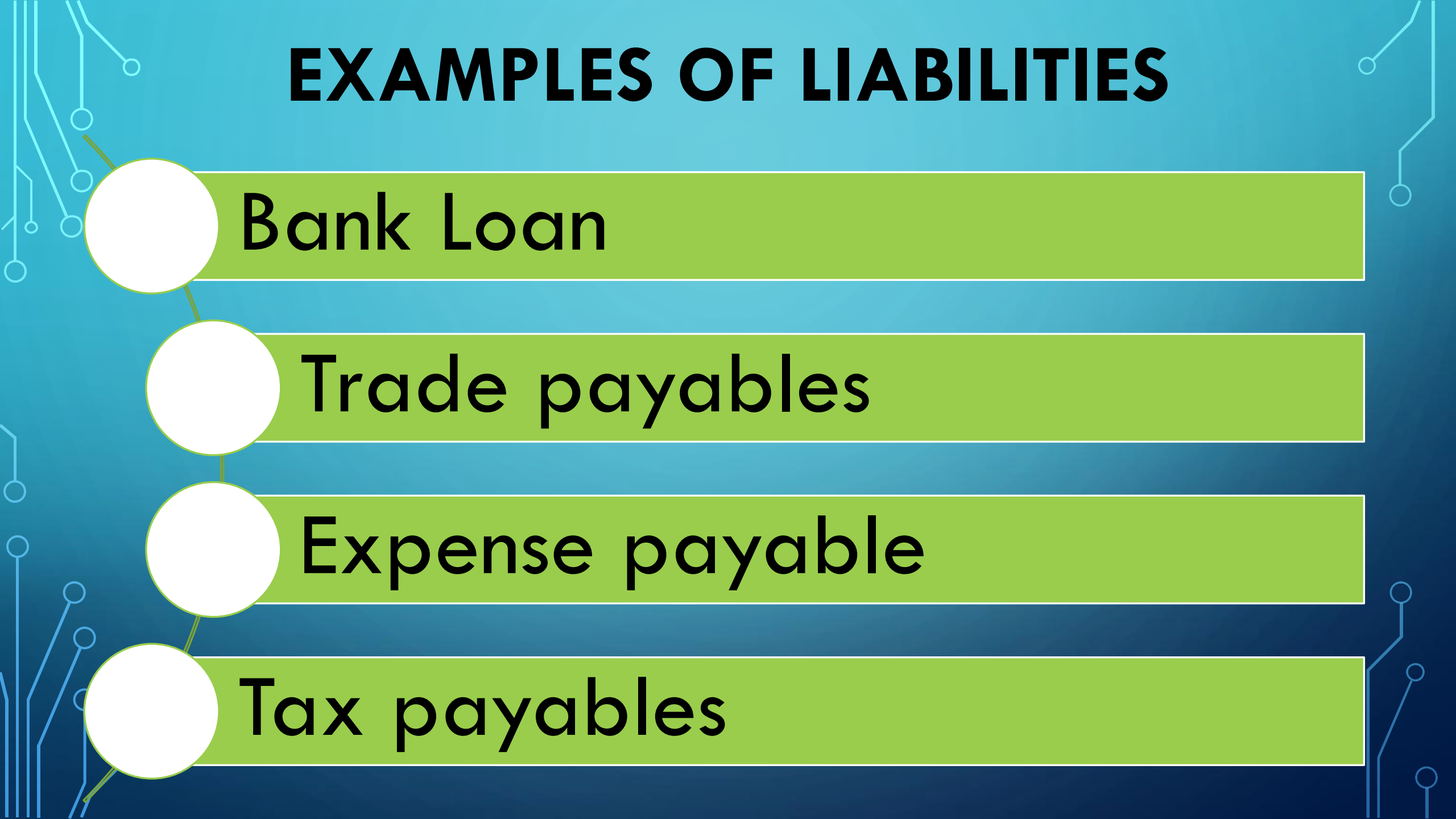


to transfer the economic resource;



as a result of past event.

EXAMPLES OF LIABILITIES



Bank Loan

Trade payables

Expense payable

Tax payables

EQUITY

Any thing invested by the owner(s) into the business plus retained profits.

$$\text{Equity} = \text{Capital} + \{\text{Profit} - \text{Drawings}\}$$

CAPITAL

Any thing (cash or other assets) invested by the owner(s) into the business.

DRAWINGS

**Any thing (cash or other assets) withdrawn by the owner(s) from the business
FOR PERSONAL USE.**

INCOME



Sale of goods

Interest income

Rental Income etc.

EXPENSES



Salaries

Utility bills

Rent Expense

Insurance

Repair & maintenance

QUESTION – ANSWER SESSION

